



Megatrends: AI vs the decade's structural headwinds

May 20, 2026

Executive summary

We have never been more concerned about the six megatrends that impact economies and markets than we are today. Indeed, our new AI-powered megatrend model shows that the world faces severe headwinds from several overlapping megatrends that, post-WWII, has only been seen during the 1970s oil crises and the onset of the 2008 financial crisis.

In this piece, we explain our new megatrend model and how it uses AI analysis to quantify qualitative signals, filters our proprietary human-created data from dbDataInsights, and layers it all beside traditional data series. In all, we take almost 100 data points and track how each of the six global megatrends have waxed and waned quarterly over the last 70 years. In particular, we focus on the impact of these trends on GDP growth, equity markets and other key economic outcomes.

We then use our model to estimate how the most important megatrends will develop over the rest of the decade. We conclude that the defining feature of the next 5 years for developed economies will be the push-pull between technology and sovereign deficits. In other words, can the productivity benefits of AI technology outweigh the burden of growing sovereign deficits? All this will take place against the backdrop of several other megatrends which will both complement and work against us.

There is some good news. Our model shows that the current economic impact of technology is growing. And history shows that our technology indicator is correlated with growing productivity growth. Thus, how AI is adopted across corporates and economies will determine whether or not developed economies can overcome the drag of the megatrends working against us.

Finally, we look at the investment consequences of the current trajectory of the six megatrends. We outline a series of medium-term investment concepts that investors should consider, and then present a matrix that looks at several key asset classes. We also explain that traditional haven assets are not as effective as they were.

Megatrends are the biggest forces that shape markets and economies over time. Yet, they confound investors because they are rarely observable on any one day's trading. But what is clear from our model is that we are on the cusp of major historical change. We are certain that this transformation will demand more of us than has other episodes of profound shifts in the economic regime.

We thank the dbDataInsights team for their input into this publication.

Authors

[Luke Templeman](#)
Research Analyst

[Galina Pozdnyakova](#)
Research Analyst



Table of contents:

- [1. Executive summary](#)
- [2. Interesting statistics on a page](#)
- [3. A new model to better understand megatrends](#)
- [4. The megatrends and their impact on economies and markets](#)
- [5. The big concern today](#)
- [6. Where our model shows megatrends are taking the world](#)
- [7. Investment consequences](#)
- [8. Appendix: Each megatrend in brief](#)



2. Interesting statistics on a page

- The other tech boom: In 2021, our technology indicator hit its highest point since the 1990s as lockdowns spurred massive tech investment.
- Through most of the 1960s, 70s, 80s, and 90s, technological improvements were associated with lower inflation. Although that relationship has reversed over the last decade, we put this down to non-tech factors (such as covid stimulus programmes). We expect greater tech improvement to lead to lower inflation in the medium term.
- Post-WWII, US real economic growth over any ten year period has averaged 3.8% pa.
- Since 1790, the US had 93 years where 10yr GDP growth was above 5% pa. In contrast, there were only 21 years where 10yr GDP growth was lower than 1.5% pa.
- 46% of Americans think today's investment environment is more certain than it was in the 2010s. Only 20% think it is more uncertain.
- 32% of Britons think today's investment environment is more certain than it was in the 1960s. Only 22% think it is more uncertain.
- 68% of the world's current GDP is generated by 12 countries in the G20 with declining working age populations.
- The role of domestic politics & social discontent may be underestimated by investors. Indeed, our megatrend indicator for this peaked in the 1990s - something that helped boost the tech boom. Today, it remains sharply negative.
- Support for populist left has surged over the last three years. In the 10 largest European countries, the populist left has similar support levels to centrist parties. The populist right enjoys the highest aggregate support.
- 67% of Americans believe the technology megatrend will help their investment portfolio over the next three years compared with 18% who think it will have a negative impact.
- Since 1990, the amount of GDP generated per kilogram of oil equivalent has quadrupled in \$PPP terms
- Americans are far more positive than are Britons about the impact of each of the six megatrends on their investment portfolio over the next three years.
- 45% of Americans think the trends in their domestic politics will have a positive impact on their investment portfolio over the next three years. In contrast, only 39% of Britons think the same.
- Indicators of domestic politics & social discontent tend to be well correlated with GDP growth.
- Over the last 20 years, M&A has become correlated with megatrends.
- Since 2020, the combination of six key haven assets have failed (positive correlation with equities) over more time periods than they have worked. In particular, havens failed to protect against risk downturns during four big shocks of the 2020s (covid, rate rises, tariffs, Iran).



3. A new model to better understand megatrends

The precursor to the internet, Arpanet, was created in the 1960s. But despite this system, and its successors, being well known for some time as academic and government tools, it took three decades before a sudden shift in the technology megatrend catalysed the commercialisation of the internet and caused the associated market boom in the 1990s.

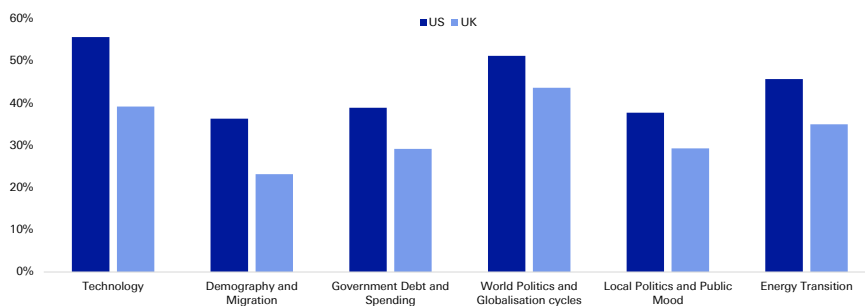
Megatrends are usually dinner party conversation because there is so much subjectivity and human bias involved. But now, AI can help us add the quantitative rigour needed to examine how megatrends affect markets and economies. Indeed, our megatrend model is only possible because AI allows us to quantify qualitative indicators, layer them alongside traditional data series and, most importantly, put an objective structure around the whole thing.

Megatrends have recently risen to prominence as our model shows that over the last 3 years (as interest rates have normalised) megatrends have become a key defining force in economies and markets. This has not been the case since before the 2008 financial crisis. As such, we expect them to define the rest of the decade and, as we will explain, we are deeply concerned at their current trajectory.

What investors think

Our recent dbdataInsights survey of investor attitudes towards megatrends shows that they are beginning to understand that megatrends have a growing influence on their portfolios. This one-off survey of US and UK investors complements our monthly surveys of a representative sample of the US and UK populations that feeds into our model. The following chart shows that investors in both the US and UK have made changes to their portfolios over the last three years as a result of all six megatrends.

Figure 1: Proportion of investors who have made a change to their investment portfolio in the last three years as a result of the following megatrends



Source : dbDataInsights, Deutsche Bank.

What exactly is a megatrend?

To us, a megatrend is a long-term, transformative force that shapes economies and markets. It can be seen in the data over multiple business cycles and has a proven ability to catalyse structural change. It alters how we live, work, interact, produce, and consume. It disrupts business models, create new industries, and reshapes



global power dynamics.

Unlike exogenous shocks, megatrends are predictable to a degree. While their exact trajectory and impact can be uncertain, the underlying forces driving megatrends are often identifiable and can be analysed.

What our megatrend model does differently

Unique human-created data is critical in AI analysis to avoid 'samey' output. Hence, we complement our qualitative signals with data from years' worth of our proprietary surveys. All this is layered alongside traditional datasets that track economies and markets. Taken together, we can then use AI to draw out themes by connecting datasets from different industries and macro groups.

The end result gives us a structured framework for analysing how the world's megatrends are changing and how they are impacting markets and economies – specifically: GDP growth, equity prices, inflation, and interest rates.

Megatrends impact society on a different timeline to their impact on companies, economies and markets

The time gap between when a megatrend is talked about and when it actually impacts markets and economies can be very wide. Electricity, railroads, the internet, and demography are all obvious examples. Investment decisions that are too early are wrong. Our model aims to fix that by addressing megatrends in terms of their observable impact on market and economies.

As such, different aspects of our model can be either: 1) leading indicators of economic and market impacts or, 2) corporate, market or economic indicators themselves.

"Megatrends are back" – after decades in the wilderness, they will likely be the driving factor to 2030 and beyond

In 2015, our 'geopolitics & globalisation' megatrend indicator dropped heavily. That came as the shortage index fell, trade policy uncertainty rose, and the Kilian index was low. Just 12 months later, the couplet of Brexit and Trump triggered the end of unfettered globalisation and upended the way economies and market see risk.

Over the last four decades, people have either ignored or oversimplified megatrends:

- 1990s: Investors assume the once-in-a-century tech boom was solely responsible for everything that happened (spoiler alert: it wasn't, as we discuss later).
- 2000s: people treat the worst financial crisis in 70 years as an event in-and-of-itself that caused widespread problems, rather than being caused/augmented/amplified by many other trends.
- 2010s: QE and low rates mean nothing else mattered.
- 2020s: The many shocks of Covid, Ukraine, tariffs, Iran etc. are seen as one-off exogenous events and not part of the normal megatrends shaping economies
- The point here is that investors have largely treated most of the last 40 years as either being driven by unique, unlucky events or by low interest rates. As a result, there is very little institutional memory about how megatrends



influence markets and economies in 'normal' times. Investors are simply not used to analysing and incorporating megatrends in their investment decisions.

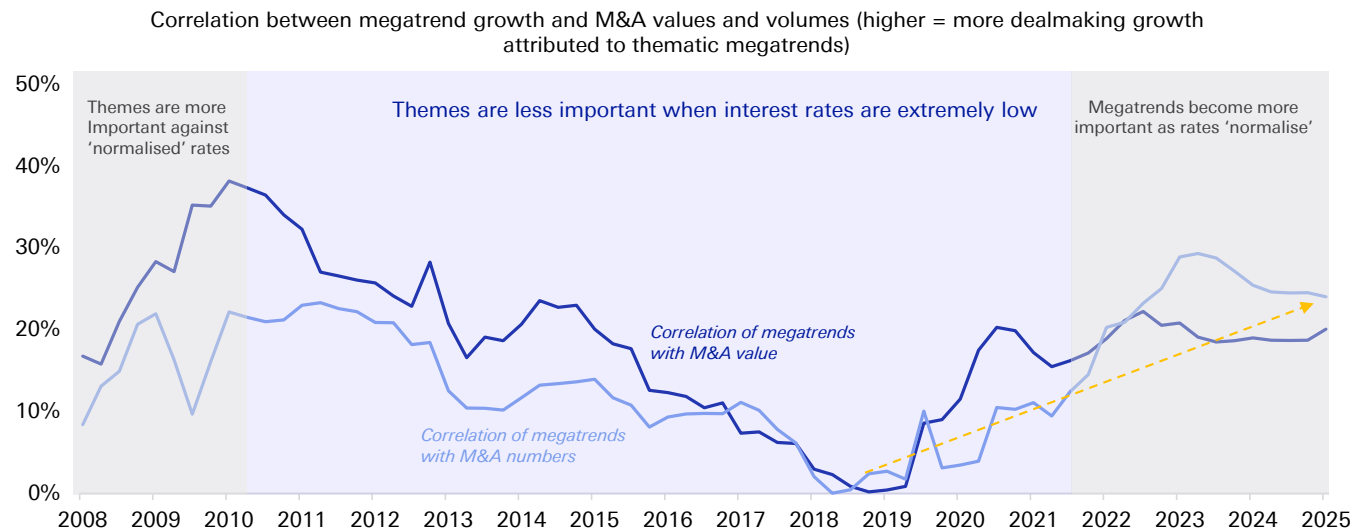
Now that we have moved out of the era of both very low interest rates and the covid aftermath, megatrends should have a more profound and obvious impact on markets and economies.

Greater volatility will amplify megatrends

Our megatrend indicators tell us to expect more volatility – in geopolitics, society, markets and, thus, corporates. Indeed, we have already seen how various sudden events this decade have led to supply shocks and these are increasingly driving an economic and market response – both negative and positive. On the negative side, they have pushed up inflation and constrained output. On the positive side, they have encouraged countries and corporates to pursue greater resilience.

This expectation of greater volatility comes right as the world settles into an era of more 'normal' interest rates. This is critical as low interest rates (and the aftermath of the aggressive rises in 2022) have been the defining feature of economies and markets for the last 15 years. Investors have become complacent as a result as the effects of low interest rates are sometimes very hard to see (our model shows it clearly). One of our favourite ways to see how interest rates have affected economies and markets is to compare megatrends to the thing that neatly intersects both these things – M&A.

Figure 2: M&A has become increasingly correlated with the growing impact of megatrends



Source : Dealogic, Bloomberg Finance LP, Finaeon, Haver Analytics, EIA, Deutsche Bank. * Note: rolling 10yr R^2

Investors still underestimate how normalised interest rates are propelling megatrends to the forefront of economies and markets. Our analysis shows that everyone should pay more attention.



4. The megatrends and their impact on economies and markets

"There is no reason for any individual to have a computer in their home," – so goes the infamous quote supposedly uttered in 1977 by the founder of Digital Equipment Corporation. That same year, Apple unveiled the Apple II computer and the rest is history ...

Our megatrend model is based on the analysis of almost 100 data series (including AI quantification of qualitative indicators, and human-created survey data). These have helped us create a quarterly indicator for each of the six megatrends that shows how it positively or negatively impacts markets and economies over time.

Below are the six megatrends that our analysis indicates should impact markets and economies. We summarise our view on each individually in the appendix.

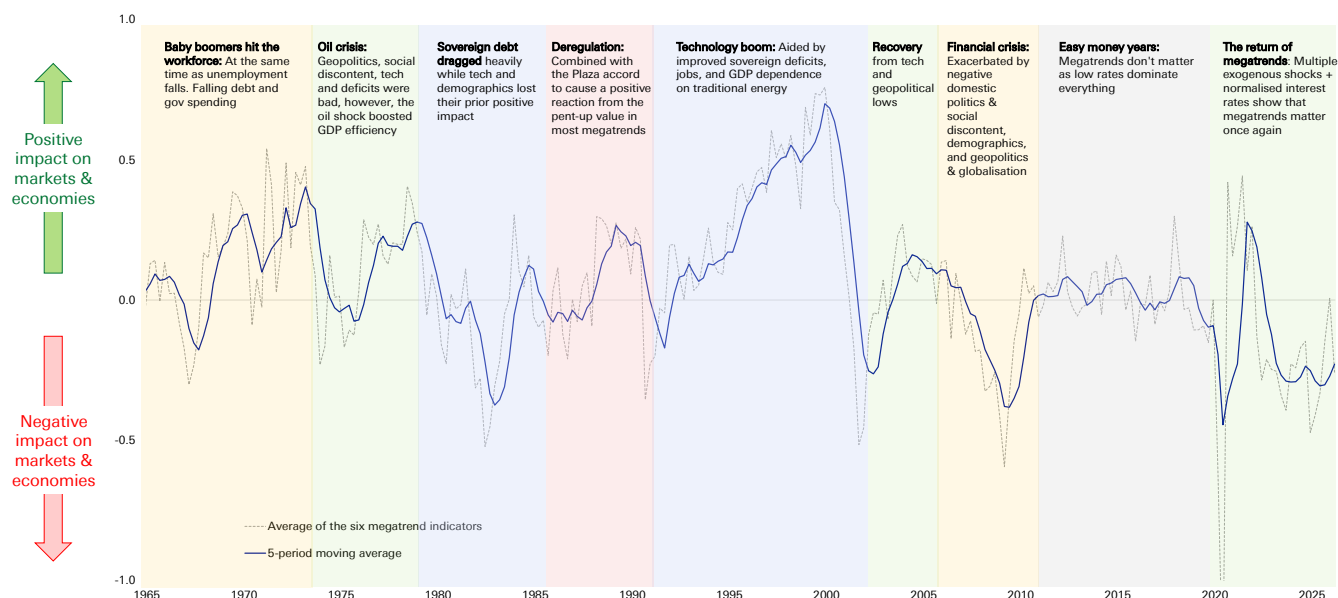
- **Technology** – The 'adoption gap' is crucial to our analysis. This is the time period between when a technology is invented and when it has an actual impact on productivity, GDP etc. Our indicators predict that AI will turbocharge productivity and push markets and economies to new highs.
- **Sovereign debt** – This is the most important negative megatrend. The worsening deficit situation is being exacerbated by demographic decline. Yet, we are cognisant that some periods of high debt in the past have been followed by periods of high growth when other megatrends align.
- **Geopolitics & globalisation** – There are many negative signals, however, deteriorating international relations does not necessarily mean a linear negative impact on economies. Trade in goods can be maintained via reorganised supply chains. Arguably more important is the trade in ideas across borders which is permanently accelerating due to ever greater and quicker connectivity.
- **Domestic politics & social discontent** – Rising discontent is causing voters to support more extreme politicians with policies that may address short-term issues at the expense of longer-term macro prosperity. This trend will continue to drag on economies and markets
- **Demography** – This goes beyond an ageing population and immigration. Our indicators show that other factors are very important including, the incentive for young people to form households, have children, and participate in the economy.
- **Energy disruption & transition** – Our most complex megatrend: Energy security and diversification are key. However, we also see that although energy disruption causes near-term pain, it can lead to long-term positive effects. From this point of view, rising prices can incentivise processes that are more productive per unit of energy.



The current impact of the six megatrends on markets and economies

Our series of almost 100 datapoints eventually aggregate into one measure for each megatrend (standardised via z-scores) and our model examines these quarterly for almost the last 70 years. We can then aggregate these six megatrends into one indicator to see how the collective impact of megatrends overall is impacting markets and economies. The following chart shows that when our indicator is positive it means that megatrends, in aggregate, are having a positive impact on economies and markets. When it is negative, the reverse is true.

Figure 3: The combined impact of megatrends on economies and markets



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, EIA, Deutsche Bank.

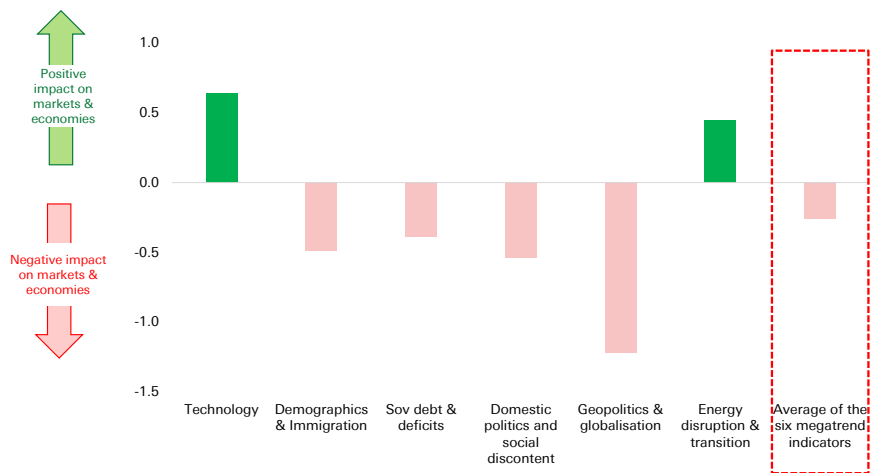
There are many important takeaways from the above chart. Just a few include: 1) Today, the world faces severe pressure from the negative effects of megatrends, 2) The impact of megatrends on markets and economies can turn quickly, even if the underlying trend moves slowly, 3) Note the period during the 2010s (the era of low interest rates) where megatrends didn't matter.

Which megatrends are having a positive or negative impact on the world?

The following chart shows the position of our current megatrend indicators as of the latest quarter. Of course, any given quarter can have its own volatility, which is why we use a rolling average in the above aggregated chart.



Figure 4: The impact of megatrends on economies and markets (at March 2026)



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, EIA, Deutsche Bank.

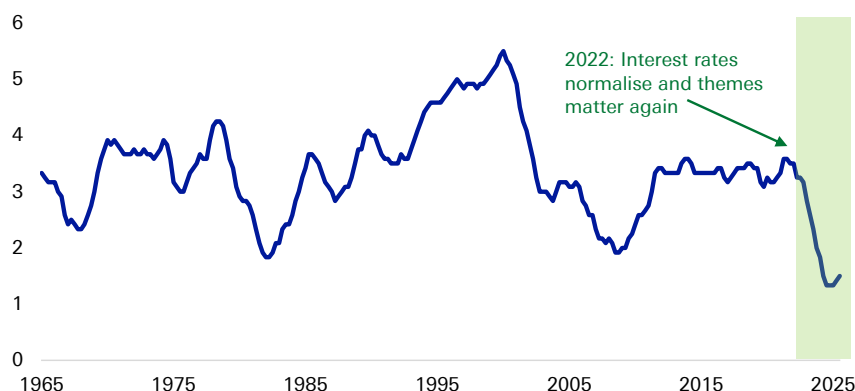


5. The big concern today

Our aggregate megatrend indicator ([Figure 3](#)) tends to be more positive than negative. Indeed, it has spent twice as much time in positive territory than negative territory.

Yet, today, the indicator is deeply negative. Adding to that concern is that the number of megatrends working positively is historically low – this can be seen in the following chart. The two similar occurrences of these lows were associated with severe downturns (note that these figures are based on a 12-quarter moving average in order to minimise the noise from quarterly events).

Figure 5: Number of megatrends (out of 6) that are having a positive influence on markets and economies (12qtr mov avg)



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, EIA, Deutsche Bank.

Megatrends are not independent from each other ...

A typical flaw in many megatrend analyses is that they address the various themes independently because the overlap between them is just 'too hard' to figure out. Our model adjusts for this by accepting there is overlap between some of the data series that impact each theme. In addition, we standardise all the results so that the six megatrends can be compared for their impact and then aggregated. As such we, as investors, can see how important any combination of themes is at any point in time.

... nor are they consistent

Megatrends do not have a constant impact on the world, and they do not grow at a steady rate. Rather, their impact on economies and markets waxes and wanes over time. The following example shows how.

An example: Why the 1990s were so good

[Figure 3](#) categorises each of the eras above by the 'typical' reason cited for them. However, this is far too simple. That is because different megatrends work in different phases – at times they complement each other, at other times they work against each other.

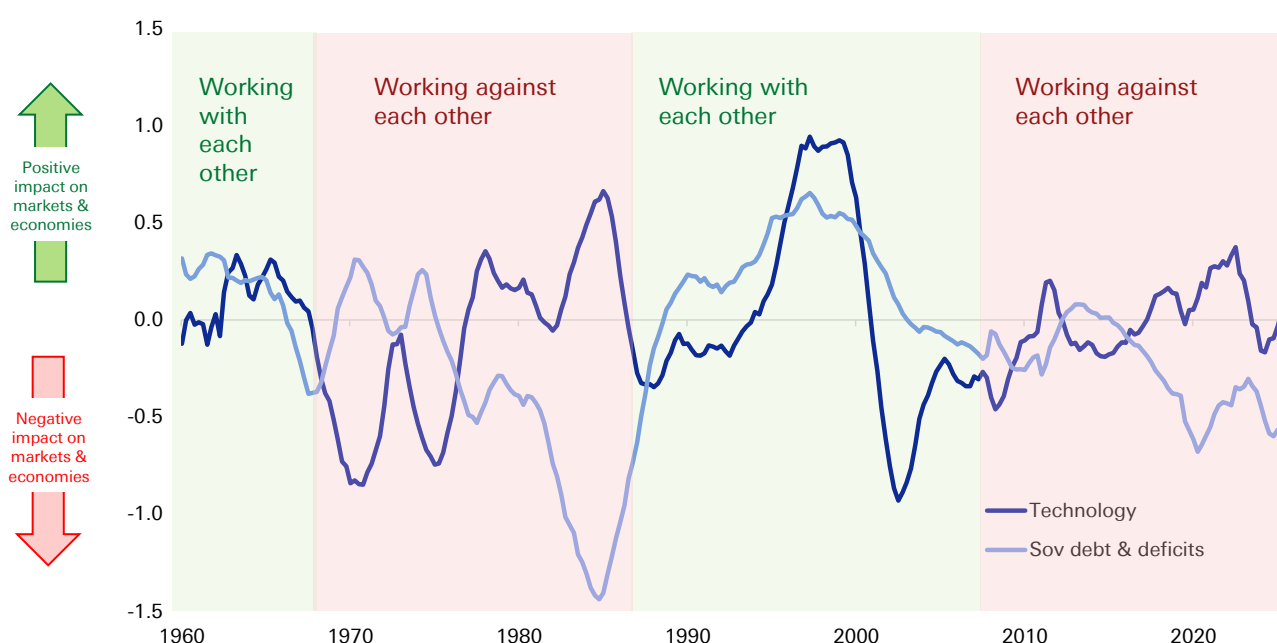
Take the 1990s. This decade was such a good period for markets and economies not just because of the tech boom. It was also a period where most of the megatrends



were positive most of the time. Thus, relatively stable politics aided policy, the workforce was generally strong, and the background of all this reduced concerns about sovereign debt. The combination of several strong megatrends provided the fuel for the technology boom.

To illustrate, let's show just two of the trends. The following chart shows the interaction between the technology megatrend and the sovereign deficits megatrend. The green shading shows the periods when the two have worked together and the red shading shows the periods where the two have worked against each other.

Figure 6: Megatrend indicators for 'technology' and 'sovereign deficits' (12q average)



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, EIA, Deutsche Bank.

The implication for the 1990s should be clear. Technology was racing ahead with the proliferation of the internet at the same time that growth in US government spending was low or negative, debt was falling as a proportion of GDP, and the 10-year term premium was falling. The combined result turbocharged markets.

In other words, the positive impact of technology was amplified by the positive effect of the improving sovereign fiscal position. And that is before considering that three other megatrends were also making a positive contribution (geopolitics & globalisation, domestic politics & social discontent, and the energy transition). In fact, only the demographic megatrend worked against things. This was driven by rising house prices and falling growth in household numbers, which more than offset the positive economic impact of rising immigration.

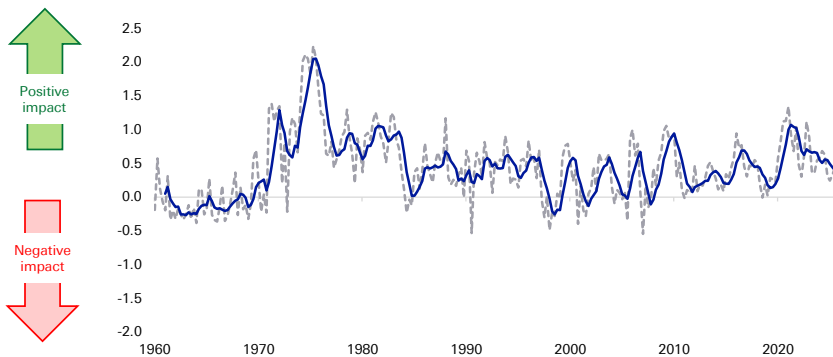
In an equal and opposite way, the tech bust in the early 2000s did not impact the world by itself. Indeed, the bursting of the tech bubble coincided with 9/11, war, and recession. It was a time when the housing prices accelerated, the job market was tough, real wages ran negative, and the labour participation rate fell.



Another example: Lessons from the 1970s oil crises

The oil crises were overwhelmingly bad for society and the economy. However, during the 1970s, our megatrend indicator showed a mixed response. That is because the negatives of geopolitics, social discontent, technology and sovereign debt were offset somewhat by a huge increase in the energy megatrend. As a result, the world started finding new ways to create energy away from the dependence on the Middle East. Since 1990, the amount of GDP generated by one kilogram of oil equivalent has quadrupled in \$PPP terms (World Bank). The chart below shows how the energy disruption megatrend has remained broadly positive over time.

Figure 7: The impact of energy disruption & transition on markets and economies (trendline is 5qtr mov avg)



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, EIA, Deutsche Bank.

Today's tech boom may be different from that in the 1990s

The background to today's technology boom is very different from that of the 1990s. Whereas the 1990s version was complemented by the positive effects of most of the other five megatrends, today's is not. Most megatrends are working against economies and markets. Therefore, if a technology boom is going to help bail out the malaise in the world economy it may have to work even harder to overpower the other megatrends.

So, is it possible for AI to be significantly more impactful than was the growth of the internet in the 1990s? Our analysis shows that not only is it possible but also it is the most likely outcome. This is extremely fortunate for the global economy as several other megatrends are working against the world and need to be overcome in order for us to avoid a slip into economic malaise.

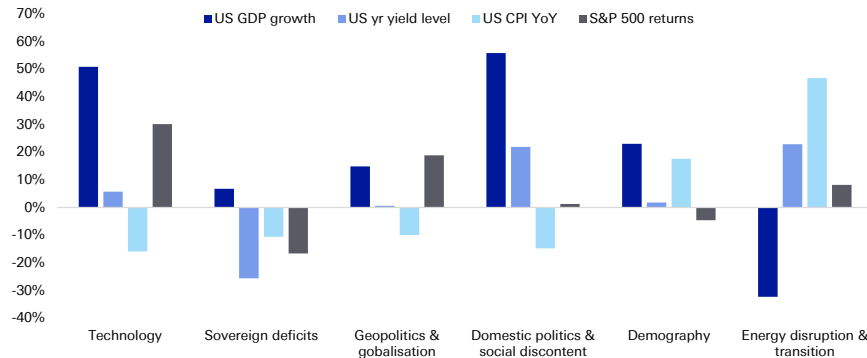
How important are our megatrend indicators for markets and economies?

The main point to tracking the six key megatrends is to assess their impact on key markets and economic variables. The following table shows the correlation of the megatrends and four key factors: US GDP growth, the S&P 500, 10yr treasury yields, and US interest rates. These calculations start, at the latest, from 1962 and in most cases earlier depending on data availability.

The following chart shows the 'all-time' (since 1960) correlation between our megatrend indicators and the four economic and market factors.



Figure 8: Full sample correlations between our megatrend indicators and the four economic and market factors (Q1 1960 to Q1 2026)



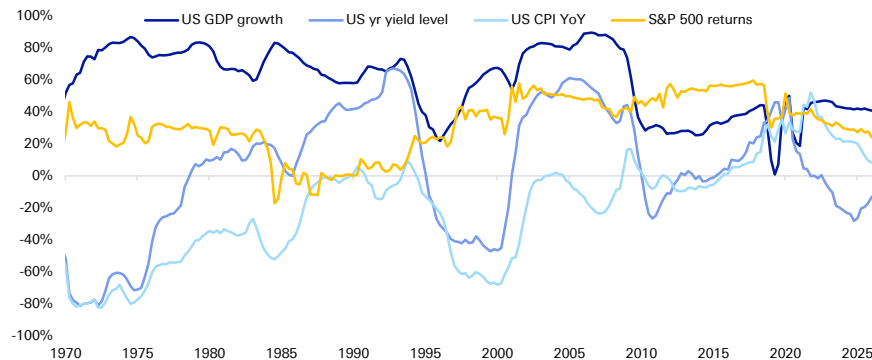
Source : Bloomberg Finance LP, Finaeon, Haver Analytics, EIA, Deutsche Bank.

There are two points to note

1. Big numbers – each of the four market and economic variables is materially correlated with several megatrends.
2. In any given period, a megatrend may be more or less correlated with the four market and economic variables than the above ‘all-time’ table indicates.

Take, for example, technology. This is generally very important for GDP throughout all periods. However, its effect on the other three variables has alternated between being very important and less important. The following chart shows how this has changed over time. In particular, the overall correlation with 10-year treasury yields is low, however, it is wrong to dismiss the relationship – as the following chart shows, technology and treasuries have had a very important relationship throughout most of the last 60 years.

Figure 9: Rolling 10yr correlations of our technology megatrend indicator with the big four indicators



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.



6. Where our model shows megatrends are taking the world

The status quo is almost certainly wrong

Many corporates and investors today say they are preparing for volatility but, actually, they assume the status quo. They assume average economic growth of 1-3%, ongoing stability in debt markets, inflation that is elevated but manageable, and average stock market returns.

This status quo is almost certainly wrong. Our megatrend model shows that, as we look to 2030 and beyond, one of two scenarios for the developed world is likely, and it all depends on technology, in particular AI. Indeed, the backdrop of deteriorating sovereign debt and the demographic overhang means that technology is the most important, most likely (and perhaps only) way that the world can fight and win against this and other negative megatrends.

We must be honest and say that AI can go one of two ways – either it will fulfil its promise (as we believe) and turbocharge productivity, or it will fizzle into an average tech with merely incremental impact (we exclude the tail risk that AI goes rogue and destroys the world). In other words, either sovereign debt and poor demographics will become an overwhelming burden, or, technology will overcome it and push economies and markets to new highs.

So, investors and corporates should prepare for either a productivity boom or a severe, prolonged downturn. And regardless of which scenario wins, because AI is now at the beginning of the J-curve of adoption, the coming few years will be punctuated by upheaval.

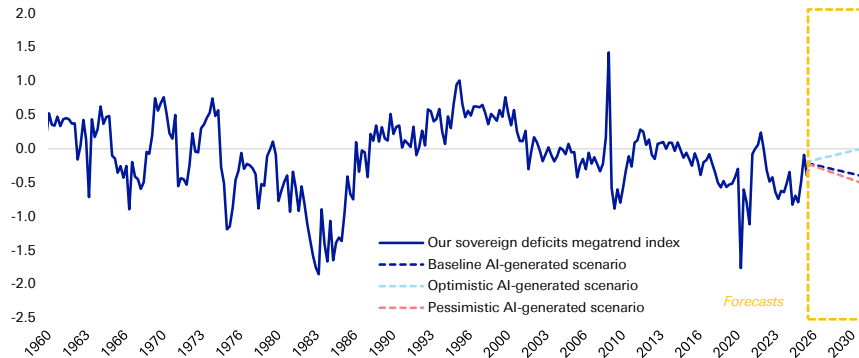
What tech is fighting against

Of all the six megatrends, the most worrying is sovereign deficits. In many developed countries, the pressure of already-large debt piles is likely to grow as the projection for budget deficits remains deeply concerning. Indeed, US debt is expected to rise from about 100% of GDP to 120% by 2036 (CBO).

The following chart shows how our model expects the sovereign debt megatrend to deteriorate over the rest of the decade.



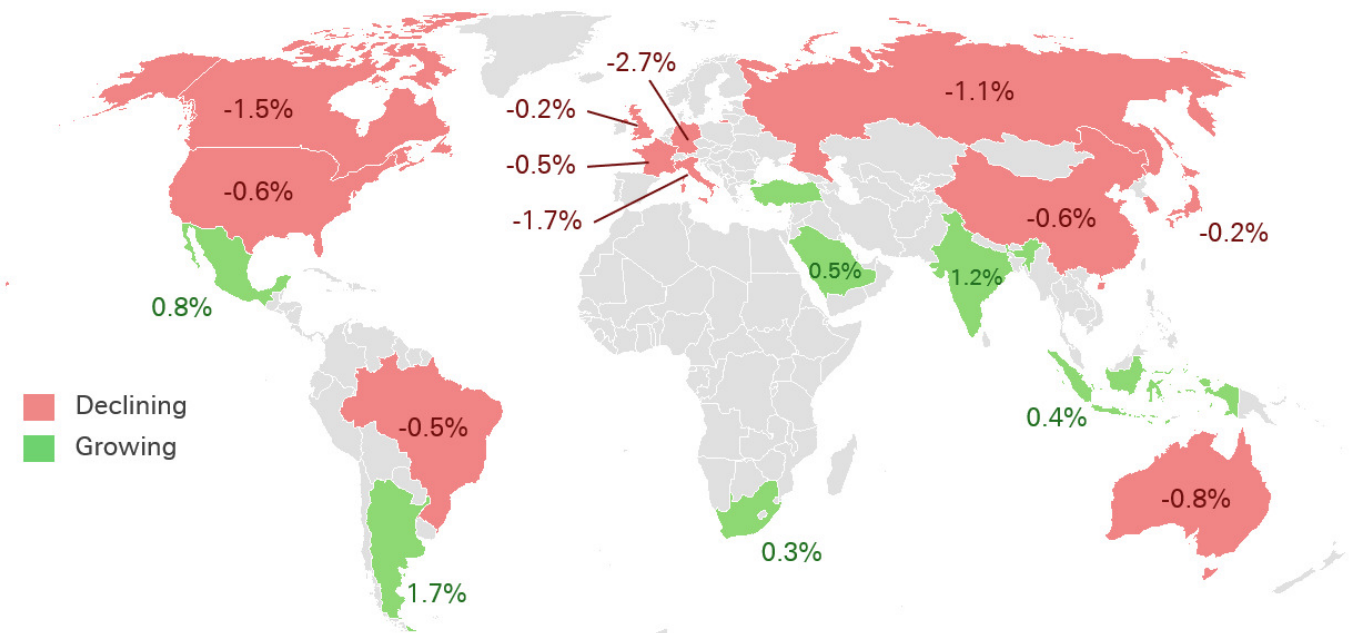
Figure 10: Our sovereign deficits megatrend index with AI-generated scenarios to 2030



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.

A key driver behind the sovereign debt problem for most developed countries is poor demographics. The following chart shows the extent of the problem.

Figure 11: Growth in G20 countries' working age (20-64) population between 2025 and 2030 (as a % of the total population)

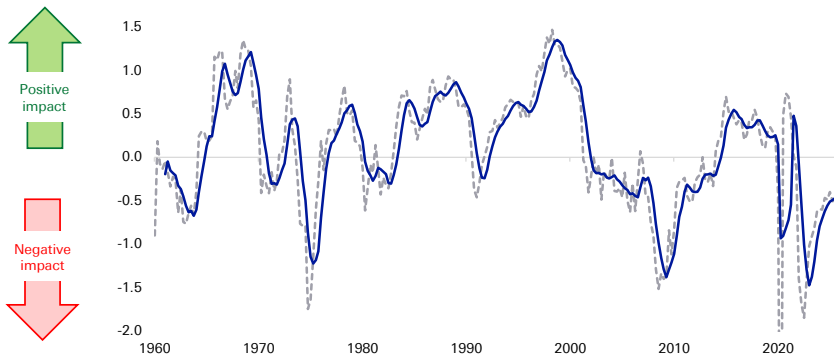


Source : UN, Deutsche Bank.

Demographic problems are well known. What is less well understood is how the megatrend of domestic politics and social discontent may also worsen the sovereign debt megatrend. Indeed, we measure social discontent based on many measures including, housing affordability, real wage growth, labour share of income and more.



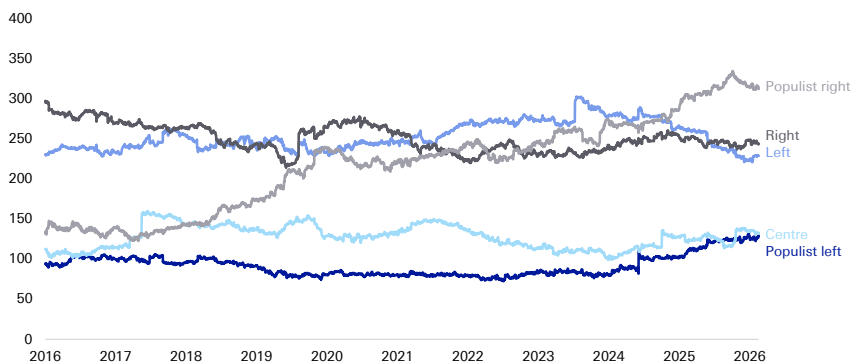
Figure 12: Our domestic politics & social discontent megatrend index



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.

Growing social discontent raises the risk that people will vote for populist politicians (from any side of politics) that may enact policies that add to debt today without regard for the long-term consequences. Of course, some politicians that are described as “populist” can exact positive, constructive policies, however, we fear that many typically do not. The following chart shows how populist support in Europe has increased over the last decade.

Figure 13: Sum of support for each category of current political parties across the 10 largest European countries



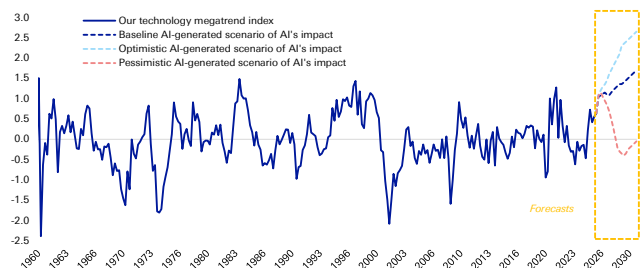
Source : Politico, dbDataInsights, Deutsche Bank.

Can tech outweigh the worsening trend of sovereign debt?

Yes, it can but the impact of AI on individuals, corporates, and economies has to accelerate from here. Our model shows this is the most likely outcome per the left-hand chart below.

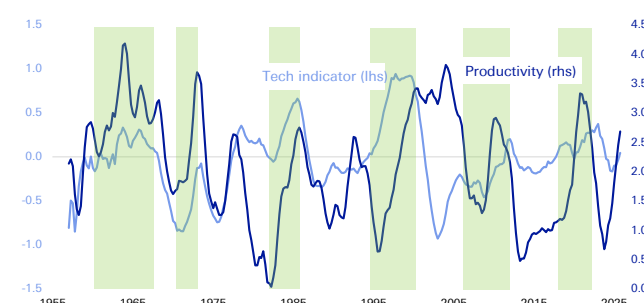


Figure 14: Our technology megatrend index with AI-generated scenarios to 2030



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.

Figure 15: Technology megatrend indicator v productivity growth (12qtr moving avg)



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.

The sharp turn up in our technology megatrend indicator is encouraging because this indicator, over time, has given us a reasonable idea of the direction of productivity growth – the key thing that will drive economies and markets forward. In general, whenever our technology indicator has accelerated to a peak, productivity growth has accelerated sharply. Notably, in the 1990s, it accelerated to 3-4% for consistent periods of time. There one big exception – in the late 1970s during the oil crisis and heady geopolitical tensions.

Our baseline expectation (per the above left chart) is that by 2030, our technology indicator will accelerate beyond levels seen during the 1990s technology boom. That implies we may see sustained productivity growth even greater than the 3-4% seen during prior peaks of our tech megatrend indicator.

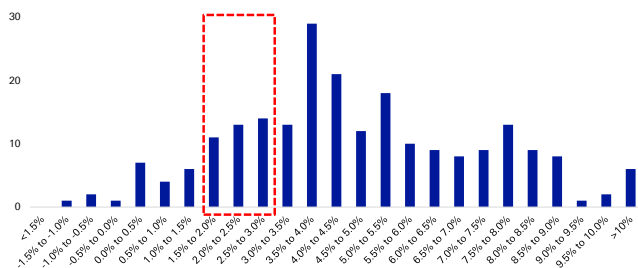
History tells us that a bad sovereign debt position can be overcome

The “Long Depression” in the US in the mid-1870s came just a decade after the Civil War and, more immediately, followed a financial crisis and investor fear at the overbuilding of railroads. A lack of government intervention exacerbated the economic malaise and unemployment likely topped double digits. The sense of despondency was palpable. However, towards the end of the decade, the benefits of the railway technology began to boost the economy. At the same time, several other trends in agriculture and sovereign debt moved in a positive direction and resulted in startling economic growth.

When we look at the history of the US economy, big jumps in growth are not unusual. In fact, they are quite prevalent. The following charts break down US economic growth into buckets. The red box surrounds the range that we usually expect GDP growth to sit in. But even these are infrequent compared with the jumps we have experienced.

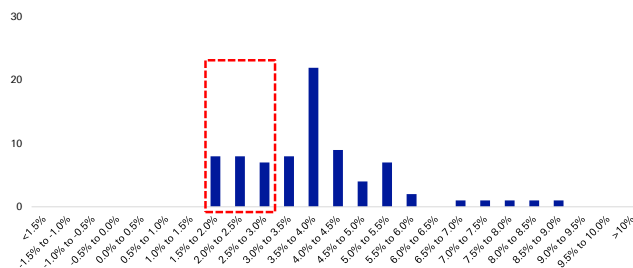


Figure 16: Frequency of US GDP growth (1790-present, rolling 10yr, annualised)



Source : Finaeon, Deutsche Bank.

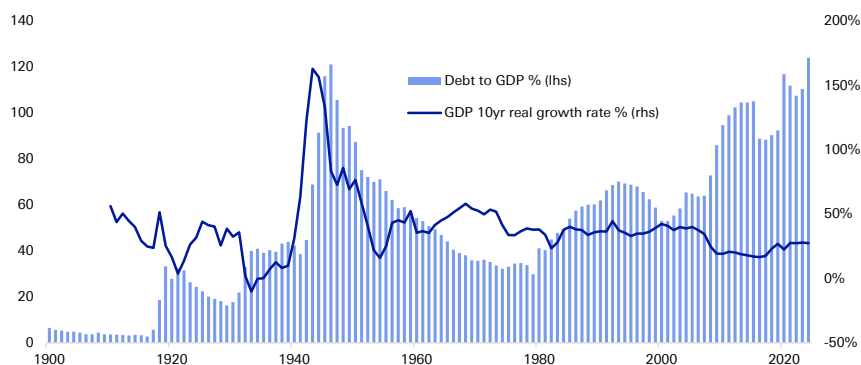
Figure 17: Frequency of US GDP growth (post-WWII, rolling 10yr, annualised)



Source : Finaeon, Deutsche Bank.

There are some critical instances through history where high sovereign debt levels were followed by periods of strong economic growth. One of the most notable is in the US after the second world war. At the war's conclusion, the US embarked on a 35-year period of deleveraging. And yet, this was a period of relatively strong economic growth – as the chart below shows.

Figure 18: US debt-to-GDP and GDP growth rate



Source : Finaeon, Deutsche Bank. (Note: Current figures differ from the CBO figures, however, this longer-term data series is used here to show the trend)

A key reason why economic growth was strong in the decades after the Second World War, despite high debt levels, was that other megatrends were working in a positive direction. Notably, globalisation grew quickly, domestic politics were reasonable, social discontent was low, and there was a positive impact from energy technologies.

Today, most megatrends show worrying signs which is why we are almost entirely dependent on AI to bail out the world economy. So where will the US, and other developed economies, end up over the coming ten years? Given the wide variety of outcomes from AI, it is unlikely that we will see the 'normal' growth rate of 2-3% pa. Our model suggests we are more likely to see higher growth with a lesser probability of low, stagnant growth. It all depends on the megatrends and particularly technology.

Some cause to be optimistic in the near term

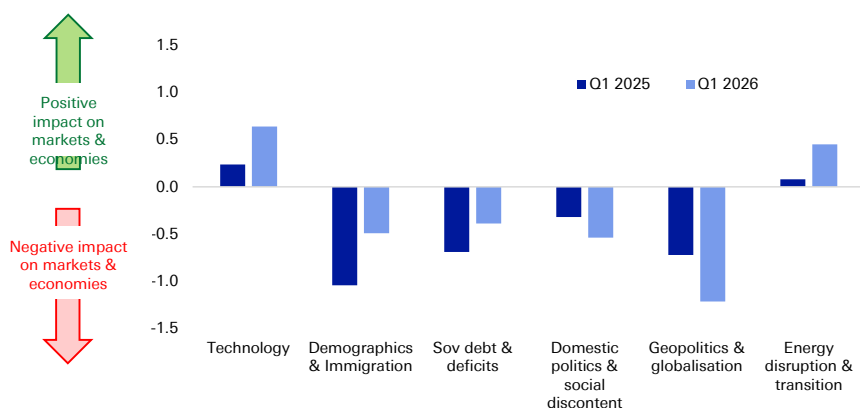
We do not put too much weight on the quarter-to-quarter movements in our megatrend indicators – there is frequently a lot of noise. However, we are conscious that the overall indicator has recently stabilised after its heavy drops over the last few years. This has been helped by a surge in the indicators for technology (driven



by AI applications and data centre investment) and the energy transition (driven by a surge in renewables and commodity prices that have incentivised a lower dependence on energy for GDP growth).

In addition, the following chart shows that four of the six megatrend indicators have improved over the last 12 months.

Figure 19: Change in megatrend indicators over the last 12 months



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, EIA, Deutsche Bank.

When we take a step back, our megatrend indicator is positive in 60% of the quarters since 1956 (the beginning of our data). And when it is positive it tends to have a strong effect. In fact, the total positive impact of megatrends is double the negative impact.

What should corporates do?

Despite the volatility ahead, corporates must not let themselves be dissuaded from investing heavily in AI and other platforms for their business (whether physical or intangible). That is because as the volatility settles over the next few years, the AI-powered productivity boom may very well send economies to new highs. To take advantage, corporates must buy or build the right tech, physical assets, and organisational structure.

There has never been a better time for corporates to invest in AI and related infrastructure. Corporates in the S&P 500 alone are sitting on over \$1.2tn of cash on their balance sheets while European companies in the Stoxx 600 sit on \$1tn. Meanwhile, private capital has over \$2tn of dry powder, so there is almost \$5tn sitting in institutional money market funds. And that is before considering that debt financing options remain cheap and easily accessible.



7. Investment consequences

As our megatrend framework helps us look into the medium term, we can use it to identify some specific trends that we believe will help frame investment decisions today:

- The volatility caused by exogenous shocks in the future will be greater than the volatility from these shocks in the past.
- Stockpickers should benefit as stock prices move more in line with company fundamentals.
- Continued decoupling of the US and China despite sporadic pauses for 'strategic stability'.
- Unpredictable sovereign debt sell-offs – particularly triggered by exogenous shocks and investor emotion.
- Haven assets could become risk assets – treasuries and the dollar, in particular, will become more volatile if the sovereign deficits megatrend deteriorates further.
- Private markets may become more attractive as investors look to avoid volatility.
- Uncorrelated assets should likely become increasingly popular (and expensive) as volatility and risk hedges (such as music rights, sports assets etc).
- Hedging will be difficult if haven assets lose their reliability.
- US over RoW based on:
 - Strong customer culture
 - Tech and capital markets leadership, and the institutional depth to support both
 - Demography is stronger than other DMs + China
 - Other countries now have to allocate resources to develop things that were formerly underwritten by the US, such as defence.
- Advantaged companies typically have:
 - A defendable moat rather than efficient supply chains
 - Natural geopolitical and currency hedges
 - Prioritise asset efficiency over size
- Capex-heavy business models could become just as attractive as asset-lite businesses
- A releveraging cycle should benefit companies
- Companies will tend to pursue transformational M&A rather than the 'hopeful' M&A they implemented during the era of low interest rates
- Return on equity will likely be more important than profit growth
- Companies may boost returns by spinning-off underperforming divisions
- We are cautious on markets where state-run enterprises play an important role



- Stocks with higher credit quality to outperform whilst the refinancing needs of highly-levered stocks should be closely watched

The following table sets out more specific views based on the current direction of megatrends:

Figure 20: Our medium-term thematic views by asset class

Asset class / Horizon	3+ years
Equities	Long US stocks in (1) knowledge-intensive industries like TMT and healthcare and (2) cyclical consumer industries; EU countries with stronger growth and less concern about sovereign debt to outperform; European firms with strong know-how to relatively outperform; US and US-aligned stock markets to outperform non-aligned markets; negative on oil and gas stocks; defence stocks to outperform; equities performance across countries and cyclicals v defensives to align along demographic dynamics; healthcare to benefit most clearly
Credit	Trade-exposed materials and industrial companies to face margin pressures from tariffs and trade realignment; this could widen HY vs IG gap; Spreads to normalise further in both the US and Europe but relatively more so in Europe; Spread widening will be back-stopped by excess liquidity
Yields	US yields will remain among least negatively affected major economies when it comes to inflation and debt concerns; Sovereign yields of countries with ageing population and no credible fiscal plan for greater dependency ratios to come under volatility; otherwise lower yields in countries where ageing is more "natural" (EM)
Commodities	Polarisation of commodities / trade along axes of influence will benefit producers in choke-point countries where diversification is impractical; economic policy, demographics and tech to be a net negative for oil prices and energy stocks; renewable energy will grow but associated stocks may struggle. A wave of public-to-private deals is possible
Alternatives	Private capital (PC) as a major beneficiary of greater concerns about aging population and pension shortfalls; PC will be key in financing strategically important industries given likely lack of red tape cutting as well as budgetary constraints in many major countries. This will be especially true in Europe (energy, infrastructure); A cycle turn for private credit will be coming; but private capital's momentum is unlikely to stop; it will become ubiquitous in institutional portfolios, with a rise in allocations likely

Source : Deutsche Bank.

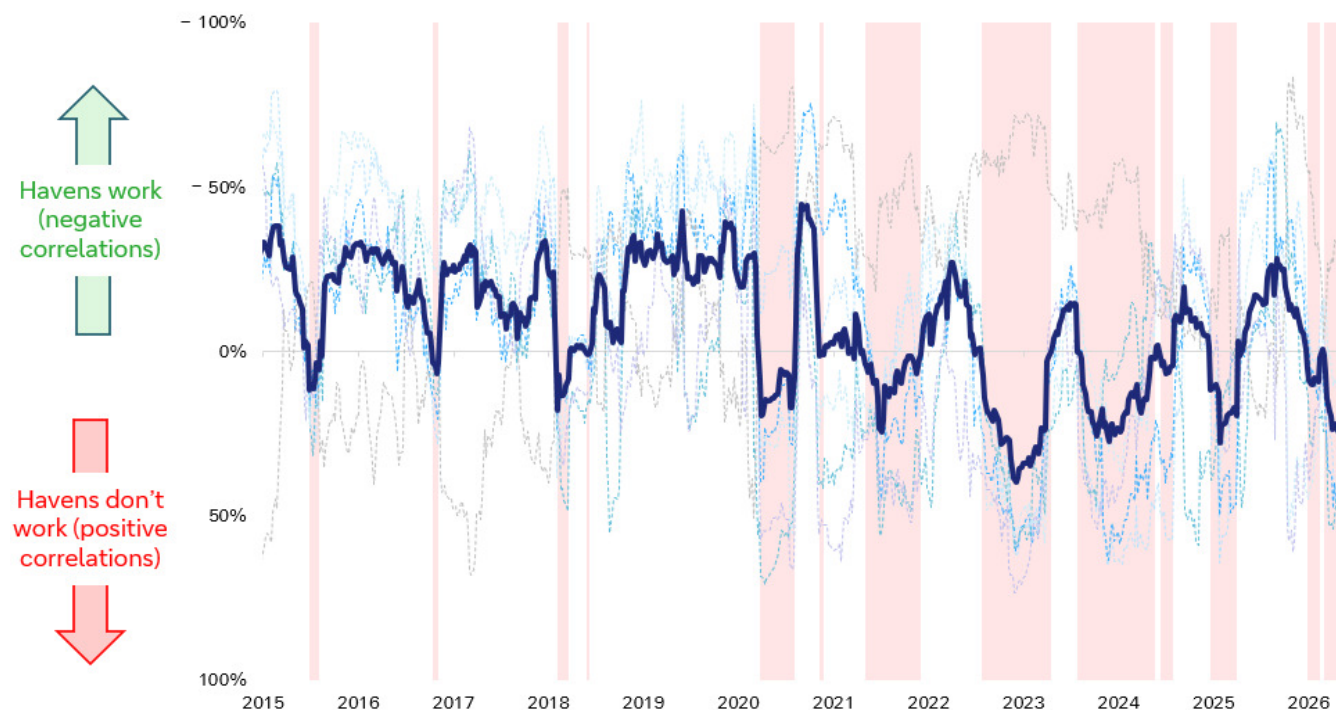
What about the haven assets?

Understanding megatrends is important because normal hedges may not work anymore.

As we think about the potential market downsides of megatrends the obvious question arises: "What haven assets should I buy?". The worrying thing is that, in recent times, the answer is increasingly difficult to ascertain. The reason is that many of the traditional haven assets simply do not work well anymore. To examine this, we looked at six haven assets: Gold, the US dollar, the Swiss Franc, the Japanese yen, 10-year treasuries and 10-year bunds. We then aggregated their performance when is shown on the following chart:



Figure 21: Our haven indicator (20-wk rolling, avg across pairwise correlations with S&P 500)



Source : Bloomberg Finance LP, Deutsche Bank.

The most important takeaway from this is that haven assets have not worked during the most important times, ie. Major risk-off moments, including Covid in 2020, the interest rate hikes of 2022, the US tariff announcements in 2025, and the Iran war in 2026.

This breakdown in havens was highlighted by the IMF earlier this year. It warned that this effect may “amplify systemic vulnerabilities” due to forced deleveraging. That is a particular concern as central banks are reducing their bond holdings and the greater supply is being absorbed by price-sensitive private investors.



8. Appendix: Each megatrend in brief

Technology

Overall view

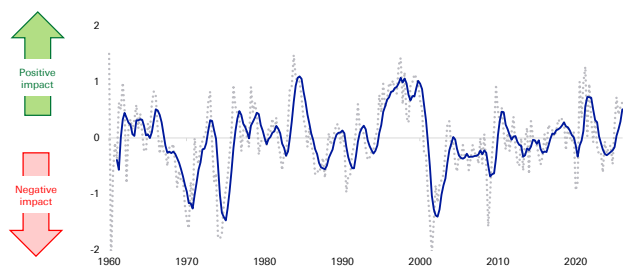
AI has been distributed and adopted far more rapidly than any other technology in human history. It has very low barriers to adoption and its applications will directly drive productivity for corporates. In the next phase of AI, institutions like firms, schools, health care, public administration, are adapting their organisation and processes to better accommodate AI. In some ways, this is analogous to the building of better roads to accommodate more cars in the early part of the 20th century.

The third phase will likely start in the early 2030s. Here, genAI systems will likely interconnect, share knowledge, self-improve exponentially, work across multiple domains. They will likely become partially self-aware and autonomous.

Investor perceptions

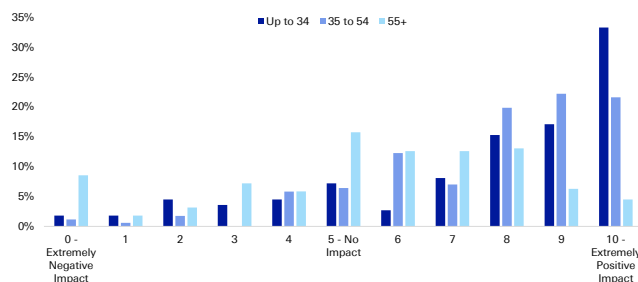
The technology megatrend is strongly correlated with GDP and equity prices. It also tends to push down inflation a little. The impact of technology on markets and economies has recently been driven by the huge investment in information processing equipment, along with its contribution to GDP. This is coupled with the continued investment in software (in its broadest definition).

Figure 22: The impact of the technology megatrend on economies and markets (trendline is 5qtr mov avg)



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.

Figure 23: Investors' anticipated impact of technology on their main investment portfolio over the next 3 years (0-10) by age group



Source : dbDataInsights, Deutsche Bank.

The above right chart shows investors are very excited about the potential for technology to positively impact their investments.

Three key technology variables to watch

1. Investment in information processing equipment: Growth has been extremely strong over the last few years as the AI boom has catalysed capex spending. A plateau (or drop) in spending would signal some near-term cooling.
2. Capacity utilisation for Hi-tech industries: This is the greatest level of output a plant can maintain within the framework of a realistic work



schedule. This has fallen from 88% just before the release of ChatGPT to 71% now. We look for increased capacity to signal greater AI adoption.

3. Industrial production of computers, comms, & semis: Growth here was poor several years ago but over the last 18 months has been trending up. Sustained growth will indicate greater domestic diffusion of technology capabilities.



Sovereign deficits

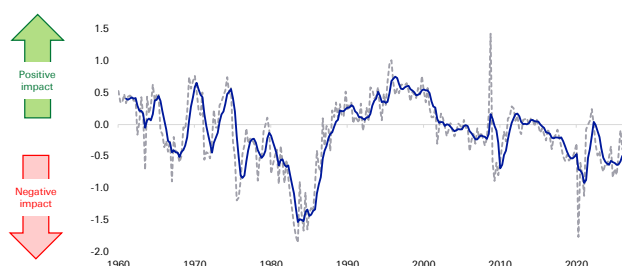
Overall view

In the era of normalised interest rates, we expect fiscal deficits, debt, and fiscal austerity to become contentious political topics. Should deficits continue on their current trajectory, we expect sustained levels of inflation above target and frequent, sovereign debt sell-offs. Associated fear would ripple through equity and credit markets. We do not expect a major sovereign default by 2030.

Investor perceptions

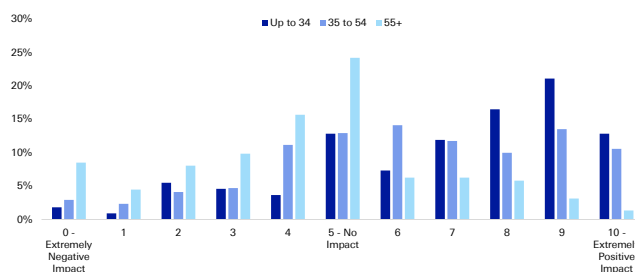
The impact of sovereign deficits on markets and economies has varied significantly over time. The below-right chart shows that investors are tending somewhat positive about the potential for sovereign deficits to impact their investments over the next three years. This may be because expansionary fiscal policy can boost markets over that timeframe.

Figure 24: The impact of the sovereign deficits megatrend on economies and markets (trendline is 5qtr mov avg)



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.

Figure 25: Investors' anticipated impact of sovereign deficits on their main investment portfolio over the next 3 years (0-10) by age group



Source : dbDataInsights, Deutsche Bank.

Looking out further, it becomes more serious. Indeed, the megatrend indicator (above left chart) has been trending down for the last three decades and the ageing population will apply further negative pressure. Indeed, US debt is expected to rise from about 100% of GDP to 120% by 2036 (CBO).

Three key sovereign deficit variables to watch

1. The contribution of government spending on GDP: This is a potential bright spot as this indicator has recently shot up. Although it is early days, if the continued trend here combines with greater AI adoption, there is potential for sovereign deficits to become less of a drag on markets and economies.
2. US 10yr yield vs. the G7 average: Treasury yields have been higher than the G7 average for most of this century. However, recently that gap has begun to shrink. Should this trend continue, it will signal that global demand for treasuries remains strong which, in turn, will boost the resilience of the US' twin deficits.
3. Fiscal policy uncertainty index: This turned deeply negative in 2024 and 2025, pushing below the Covid lows. While this is a somewhat subjective index, it is an important trend indicator because it can impact the short-term market view, particularly during an exogenous shock which can lead to fear-based sell-offs.



Geopolitics & globalisation

Overall view

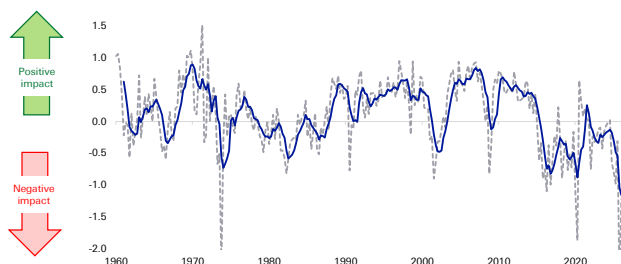
There are many myths associated with this megatrend. We believe globalisation and international trade will, in aggregate, continue to be strong, but it will reorganise itself around the US and Chinese spheres of influence. The US and China will likely continue to decouple their dependence on each other but the shocks of the 2020s show that corporates are very good at reorganising supply chains.

Many commentators have discussed how geopolitical shocks tend to only have a short-term impact on markets. Our megatrend indicator shows this is not true if you consider the broader picture and wider economy. That is because G&G impacts many things that are two, three, or more steps removed from the initial impact – and these may be incorporated into economies and markets slowly and over time.

Investor perceptions

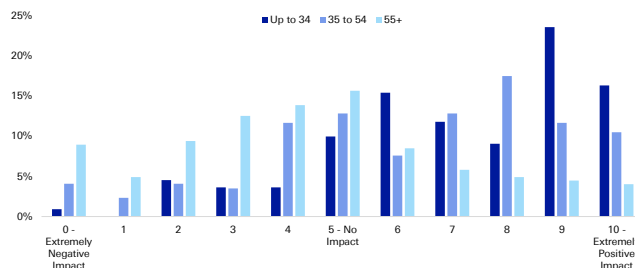
Investors are relatively nonplussed with G&G in terms of the potential impact on their investment portfolio. The below right chart shows that most regard it as neutral, although there is a leaning, particularly among young people, to be positive about the potential benefits of G&G.

Figure 26: The impact of geopolitics and globalisation megatrend on economies and markets (trendline is 5qtr mov avg)



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, EIA, Deutsche Bank.

Figure 27: Investors' anticipated impact of geopolitics & globalisation on their main investment portfolio over the next 3 years (0-10) by age group



Source : dbDataInsights, Deutsche Bank.

Our G&G indicator is somewhat positively correlated with the S&P 500 and GDP growth, and there is a small negative correlation with inflation.

Three key geopolitics & globalisation variables to watch

1. Shortage index: This covers US shortages of industrial goods, energy, food and labour. The combined shocks of this decade have caused the index to average its highest level since the oil shocks of the 1970s and then, before that, WWII. To the extent this remains high, it will indicate a worsening G&G impact
2. Trade openness: This is essentially exports + imports as a proportion of GDP. This has not changed much over the last decade despite much geopolitical upheaval. Thus, in itself, we see this as a positive indicator.
3. Kilian index of global activity: This is derived from a panel of dollar-denominated global bulk dry cargo shipping rates and may be viewed as a proxy for the volume of shipping in global industrial commodity markets



Domestic politics & social discontent

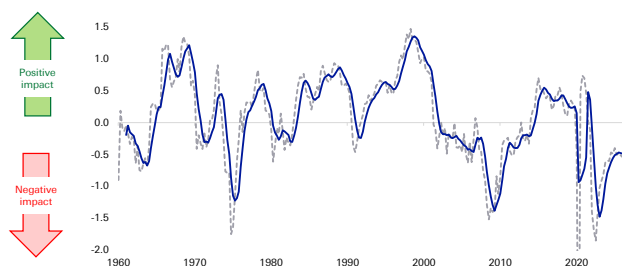
Overall view

We are recently past the 'tipping point' for populism (of all political colours). As such, it will likely become more widespread as the populist left grows to compete with the already-strong populist right. These politicians tend to encourage and amplify anger in voters. This would increasingly impact markets and economies as some countries potentially enact policies with negative long-term implications.

Investor perceptions

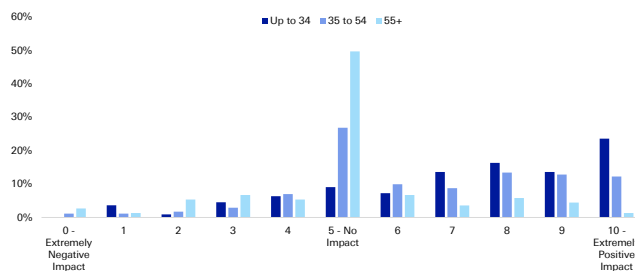
The way investors see domestic politics is similar to the way they view its sister trend, geopolitics & globalisation. Most investors tend to be neutral on the prospects for it to influence their portfolio, with a small proportion leaning positive.

Figure 28: The impact of domestic politics & social discontent megatrend on economies and markets (trendline is 5qtr mov avg)



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.

Figure 29: Investors' anticipated impact of domestic politics & social discontent on their main investment portfolio over the next 3 years (0-10) by age group



Source : dbDataInsights, Deutsche Bank.

Our megatrend indicator has a very strong correlation with GDP growth. Positive politics and lower social discontent also coincide with lower inflation and bond yields. Yet, we find that many people ignore the impact of domestic politics on markets as it is less impactful on equity markets.

Three key domestic politics variables to watch

1. **Consumer sentiment:** This gauge has done poorly at predicting what people usually assume – retail sales. But it has been good at estimating the level of social discontent. That directly translates into support for populist parties (on both the left and right) and can increase the likelihood that governments will embark on fiscal and institutional policies that have negative medium-term effects
2. **Housing affordability ratio:** For almost this entire decade, this indicator has been negative, indicating that affordability is growing worse. Most developed countries are stuck with the problem of incentivising more house building at the same time that regulation and local objections hold up construction.
3. **Labour share of income:** While growing real wages is positive, people care about their relative position in society. That is why the labour share is so critical. Labour share has been steadily trending down for decades and AI risks worsening this. This is one of those issues which typically lies dormant until there is an exogenous catalyst. When the frustration surfaces, various populist politicians may channel that anger in an unproductive direction.



Demography

Overall view

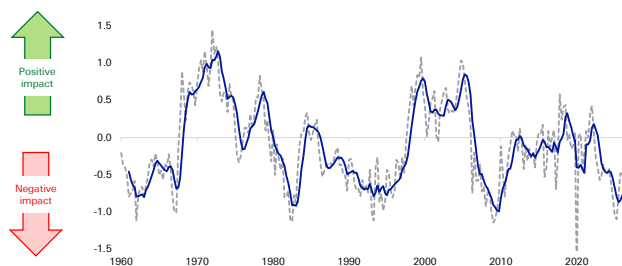
Demography is about far more than just the ageing population. People's 'health span' is rising, they are working longer and spending more. Still, pension savings are generally poor. That means people will take greater investment risk for longer, a positive for equities. Corporates will be forced to use technology to adapt to a tighter workforce.

Investor perception

The below left chart shows that the demography megatrend has deteriorated markedly since Covid. This is not only due to the declining working population but also falling growth in household numbers, lower net migration, and rising objection to migration.

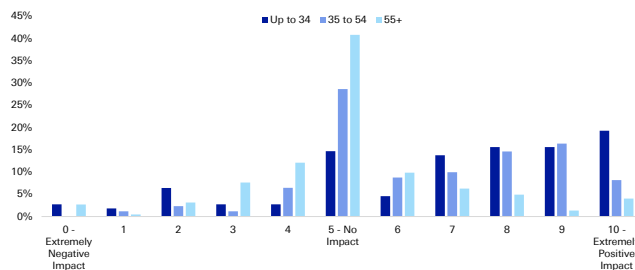
Younger investors err on the positive. They see demography as a positive for their investments over the coming three years. Partly, that could reflect optimism at how AI transformation is being accelerated by the need to address the declining workforce.

Figure 30: The impact of demography & immigration megatrend on economies and markets (trendline is 5qtr mov avg)



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, Deutsche Bank.

Figure 31: Investors' anticipated impact of demography on their main investment portfolio over the next 3 years (0-10) by age group



Source : dbDataInsights, Deutsche Bank.

Three key demography variables to watch

1. Net migration rate: A big one for almost all developed countries where birth rates are below replacement levels. Politics will be a key driver here. That will be made even more pertinent if populist parties gain more traction in Europe. Some believe in closing borders, others believe in far more open borders.
2. One-family house sales: These are key as people are likely to have more children if they can buy a family home. The good news is that growth here has trended up over the last two years after a strong downswing in 2022 and 2023
3. Number of households: Household formation is generally a critical precursor to building a family (regardless of family home sales). The decade-long upswing in household growth abruptly ended with Covid. Since then, growth has been trending down. The overlapping social dynamics that caused this shift are complicated and poorly understood but this remains a key indicator for demography moving forward.



Energy disruption & transition

Overall view

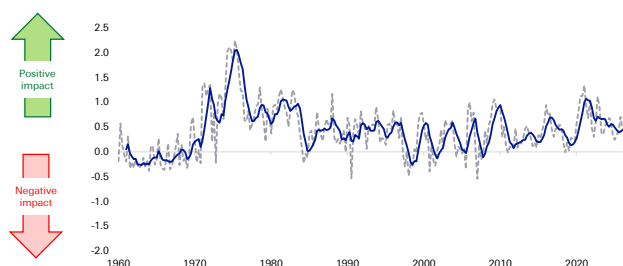
This megatrend is nuanced. Because we assess the medium term, we regard it as a positive when events happen that encourage greater energy security, diversification of supply, and adaptation that reduces the energy intensity of GDP.

The current energy crisis, therefore, can be a positive for economies and markets in the medium term as it is encouraging all the above points – even though the short-term effects are causing pain for consumers. In addition, the ongoing geopolitical tensions between the US and China is leading to a period of ‘strategic stability’ where countries are working to become more self-sufficient (or ‘friend-sufficient’) with critical minerals, commodities and other ‘chokepoint’ inputs.

Investor perception

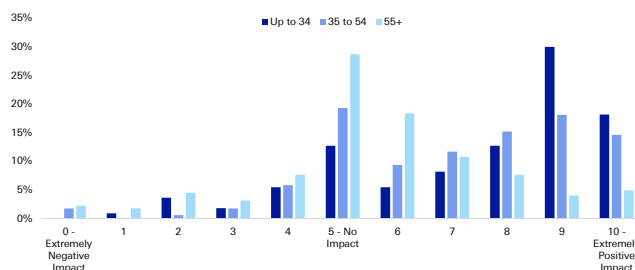
The good news is this megatrend has been positive for markets and economies for most of the last 50 years. That is because the world is gradually decreasing its dependence on traditional ‘chokepoint’ energy sources. Yet, there is a long way to go and the below right-hand chart shows that investors are generally positive about the prospect.

Figure 32: The impact of energy disruption & transition megatrend on economies and markets (trendline is 5qtr mov avg)



Source : Bloomberg Finance LP, Finaeon, Haver Analytics, EIA, Deutsche Bank.

Figure 33: Investors' anticipated impact of the energy transition on their main investment portfolio over the next 3 years (0-10) by age group



Source : dbDataInsights, Deutsche Bank.

Three key energy disruption & transition variables to watch

1. Metals price volatility: Big spikes in various metal prices tend to cause panic in industry but, on the whole, they tend to revert to mean over time as either alternative supplies are sources, or alternative production methods are adopted. We expect commodities will be used as geopolitical weapons with increased frequency in the coming years, and we expect markets to respond in turn.
2. Rig count: There are several reasons why these may rise or fall over time. However, a falling rig count over the medium term is one indicator of the level of reliance on fossil fuels.
3. Energy inflation: In any one quarter or year, a rise or fall here can be noise, however, when energy inflation is falling over the medium term, it can indicate that supplies are becoming more diversified, stable and reliable.



Appendix 1

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